

BLLN pitch deck

PITCH — BLLN — VERDICT

ADJUDICATED 2026-08-08 — DECLINE at \$93. No position, no order. The 39% drop was earned, not a mistake: the company missed on profit, broke its own pattern of raising guidance, and its main business stopped growing in the same quarter the biggest competitor set records. This is a watchlist name, not a dead one — 70% gross margins, positive free cash flow, roughly \$460M of net cash. It reopens at ~\$78 or on hard evidence the core business re-accelerates.

Staleness note up front: this verdict was set on 2026-08-08 at a \$93 tape. As of 2026-08-18 the stock is \$87.99 — down another 5.7%, and now 12.8% above the reopen price. Nothing else in the case has changed, but the gap to a live decision is narrower than the verdict date implies.

What we believe

BillionToOne sells genetic tests. Two businesses: prenatal testing (the big one, ~88% of revenue) and cancer testing (small, growing fast). In the June quarter it did \$109.4M of revenue — up 64% versus a year ago, which sounds excellent, and up **0.9% versus the March quarter**, which is the number that matters.

Our belief, plainly: **the market read this correctly and we do not have a better read.** The stock fell because the company stopped compounding, not because anyone panicked. Specifically:

- 1. The core business went flat.** Prenatal revenue was roughly \$95.0M in Q1 and \$95.8M in Q2 — call it flat, and possibly slightly down depending on which company release you anchor to. Every dollar of sequential growth came from the small cancer segment (\$10.7M → \$13.7M).
- 2. Price per test is falling.** Reported average selling price went \$571 → \$551. Gross margin went 73% → 70%. Both moved the wrong way in the same quarter.
- 3. The guidance the company reiterated now requires an acceleration it hasn't shown.** Full-year guide is \$450–465M. The first half delivered \$217.8M. That means the second half has to do \$232–247M, which is 6.6–13.5% growth half-over-half — coming out of a quarter that grew 0.9%.
- 4. A same-day competitor print removes the “it's the whole industry” excuse.** Natera reported the same day: +38% year over year, a record 1.044 million tests, and a raised full-year outlook. Its stock rose 16% while BLLN fell 39%. Whatever went wrong is specific to this company.

What we also believe, and it is why this is a watch and not a tombstone: **the balance sheet and the business quality are genuinely fine.** ~\$548.6M cash, \$91.0M debt, no maturity until 2031, positive

free cash flow, 70% gross margins. There is no solvency story here. This is a growth-rate question, not a survival question.

What the market believes

The market moved from “this is a compounder that raises guidance every quarter” to “this is a company whose main product line has stopped growing and whose pricing is eroding.” That is a repricing of the growth rate, and it happened in one day.

At \$87.99, with 47.19M shares and ~\$458M of net cash, the enterprise is valued at ~\$3.69B — about **8.1× this year’s guided revenue**. That is not a distressed price. It is the price of a good business growing 40–50% with a live question mark over it. The market is not saying the company is broken; it is saying it will no longer pay a premium for growth it can’t verify.

The market has *not* concluded the company is losing. If it had, the stock would be nearer the \$61.96 52-week low. It is pricing uncertainty, not failure.

Why we might have edge

Three honest candidates, in descending order of strength:

- 1. The valuation comparison is being done wrong by most people, including our own red bench.** Natera trades at roughly 15.3× revenue (143.22M shares × ~\$308 ≈ \$44B against a \$2.85–2.91B guide) growing 31%. BLLN trades at ~8.1× enterprise value to sales growing 40–50%. On the crude growth-adjusted math, BLLN is the *cheaper* one. If the flat quarter turns out to be a stumble rather than a trend, the multiple gap closes toward the leader.
- 2. Two dated product launches sit inside the second half, and neither is in anyone’s model yet.** The Unity 130-gene panel (launched 2026-08-17) and Northstar Origin (2026-09-01) are both higher-content tests, meaning they should raise revenue per test. The bear case says price per test is structurally eroding. If the erosion was mix — cheaper cancer tests diluting the average — and the new launches lift content, the ASP line inverts. We do not know which it is, and neither does anyone else, because the segment-level price split has not been read.
- 3. The company has ~\$300M of newly contracted covered lives from payer wins.** If those convert, volume re-accelerates mechanically. Nobody can prove they will, but nobody has proven they won’t either.

Note what all three have in common: they are reasons the stock could work *later*, on evidence that does not exist yet. That is not an edge you buy today. That is a reason to keep the file open.

Why it might be priced in

Bluntly, most of it is.

- **The launches are public and dated.** Sell-side has the same August 17 and September 1 dates we do.
- **8.1× sales is not a distressed multiple.** If we are right and the company re-accelerates, we make money on a re-rating from cheap-ish to expensive. If we are wrong, 8× has a long way to fall — the 52-week low at \$61.96 is 30% below here, inside the range this stock has actually traded in the last twelve months. The payoff is not obviously asymmetric in our favor.
- **The competitive read is the real risk and it is not priced as a certainty.** If Natera is taking share in prenatal — the exact segment that went flat — then this is not a stumble, it’s the start of a trend, and 8× becomes 5×. Nothing in the current price assumes that.
- **Insider supply is open-ended.** The IPO lockup expired 2026-05-05. The Form 144 filings in the pack are a steady drumbeat (six in the eight trading days before the pack was built). There is no scarcity of stock.
- **There is no catalyst to pay us for waiting.** The next scheduled report is early November. Holding an unproven re-acceleration thesis for eleven weeks with no dated event is paying rent for nothing.

What we checked ourselves

Including — and especially — where our own analysts got it wrong.

Claim	How checked	Found	Confirmed?
The drop had no explanation (original thesis premise)	Web search of the earnings coverage	It had a clear one: light quarter plus a reiterate that broke the pattern of raising	Refuted — the “unexplained overreaction” framing is dead
“Roughly a 20% profit miss” (our red bench)	Cross-checked multiple estimate providers	FactSet estimate was \$0.18 vs \$0.15 actual; Zacks consensus was \$0.15, i.e. in line; one outlet headlined it as <i>beating</i> forecasts	Our bench erred. The miss is real but the size depends entirely on which provider you use. We should not have cited “20%” as a fact
Revenue grew only 0.9% quarter over quarter	Company’s own Q1 release (\$108.4M) against Q2 (\$109.4M)	Confirmed. Also checked the prior year for a seasonal excuse: Q2-2025 grew ~13% over Q1-2025, so there is no seasonal pattern that explains a flat June quarter	Confirmed and strengthened
Gross margin is healthy (+5pp year over year)	Q1 slides vs Q2	Q1 was 73%, Q2 was 70–70.5%. The year-over-year framing hides a sequential decline	Confirmed — the bull framing was misleading
The reiterated guide is achievable	Arithmetic on the 10-Q’s H1 figure (\$217.836M)	Requires 6.6–13.5% half-over-half growth. Our red bench called this fatal; our blue bench pointed out last year’s second-half ramp was ~+42%, so it’s demanding rather than impossible	Math confirmed, severity overstated by red — downgraded from fatal to a sizing constraint
The whole diagnostics category is soft, so this	Natera’s same-day results	Natera: +38% growth, record volumes, raised guidance, +16% stock. The	Confirmed — this is the single most

Claim	How checked	Found	Confirmed?
recovers		problem is company-specific	damaging fact in the file
“It’s still expensive vs Natera at ~10× sales” (our red bench)	Recounted Natera’s shares (143.22M) and BLLN’s cash/debt from the 10-Q	Natera is ~15.3× revenue, not ~10×. And BLLN’s <i>enterprise</i> value is 8.1–8.6× once you net out \$458M of cash — red used market cap. Growth-adjusted, BLLN is the cheaper stock	Our bench erred, materially. The relative-value leg of the kill case is inverted. The absolute-multiple caution survives; the comparison does not
Form 144 filings rule out a supply problem	Lockup timing via secondary source, plus filing cadence	The lockup expired 2026-05-05. Ruling out the one-day cause says nothing about ongoing supply, which is unconstrained	Confirmed — the original rule-out was too narrow
Cash and enterprise value (listed by red as an unchecked gap)	10-Q figures via a filing aggregator	\$548.6M cash, \$91.0M debt, no maturity until 2031, free-cash-flow positive	Confirmed via secondary reporting of the 10-Q, not read out of the filing itself — see unverified section
“If prenatal ASP is flat, the decline is just cancer-test mix and I’d change my mind” (red’s stated escape hatch)	Blue bench decomposed the segments: H1 prenatal \$190.8M minus Q2 prenatal \$95.8M implies Q1 ~\$95.0M	Prenatal <i>revenue</i> is flat outright. Mix can explain a falling average price; it cannot explain a flat core business	Red’s own escape hatch is largely closed — and this matters below, because our armed sensor still contains that stale condition
Live price at the time of the verdict	Quote aggregators; our broker feed and desk cache were both unavailable that session	Red worked off a degraded ~\$92 basis; the evidence pack’s \$93.39 superseded it. As of 2026-08-18 the tape is \$87.99	Confirmed, basis was degraded at verdict time

Two derived numbers we want to flag as ours, not the benches’: if the reported ASP (\$571 → \$551) is a company-wide figure, then implied test volume went from ~188,000 to ~198,500 — up ~5.6% — while price fell ~3.5%. That would mean volumes are *fine* and price is the whole problem, which is a much more fixable story. But we do not know whether that ASP is company-wide or prenatal-only. This is the single highest-value unread datum in the file.

PROPOSED ENTRY BANDS

The verdict is no entry. Below are the reopen gates, taken verbatim from the adjudication — we did not invent our own.

Reopen gate 1 — price: \$78.00 or below ($\approx 7\times$ enterprise value to sales). At \$78, 47.19M shares = \$3.68B market cap, less ~\$458M net cash = ~\$3.22B enterprise value against the \$457.5M guide midpoint = **7.05×**. At that level the re-entry math clears even on our red bench’s own stated flip-point. From \$87.99, that is **11.4% lower**.

Reopen gate 2 — evidence: prenatal volumes or prenatal price per test **re-accelerating**, or demonstrable uptake of the Unity 130-gene panel. Either one triggers a fresh adversarial review.

What clears each gate, concretely: - Volumes re-accelerating means **greater than 8% quarter over quarter** in prenatal (red's own stated threshold). - Unity-130 uptake means it shows up in the price-per-test line, not in a press release.

Adds: none. There is no position to add to. If the price gate fires, that opens a *review*, not a purchase — the gate is written as “re-court,” and we treat it that way.

Exits / trims: not applicable. Book position is NO POSITION, orders NONE.

Sizing: zero today. We are stating plainly that neither bench produced a sizing number, so we are not manufacturing one. Size gets set at the re-court, informed by whichever gate fired — a price-only trigger (cheap but still stalled) deserves a smaller starter than an evidence trigger (re-accelerating), and the two together deserve a real position. Committing to a size now, eleven weeks before the evidence exists, would be pretending we know something we don't.

Catalyst dates: - **2026-08-17** — Unity 130-gene panel launch. *This date has already passed as of today (2026-08-18).* The sensor value now is uptake evidence, not the date. - **2026-09-01** — Northstar Origin launch. Second of the two content-raising launches that the second-half guide implicitly leans on. - **~2026-11-05** — Q3 results. **Unconfirmed.** Derived from a data vendor, and our two internal sources disagree by a day (the evidence pack says 11-05, the armed sensor says 11-06). Confirmed only when the company issues a scheduling press release. Cadence supports it: Q1 8-K on 05-06, Q2 8-K on 08-05.

Do-not-chase note: if the stock rallies back toward \$110+ on launch enthusiasm without a print, the reopen gates do not move. We are not buying momentum into an unproven re-acceleration.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 62.0 (deck-provisional: 52-week low breach - thesis-break marker (share loss, not a growth question); NOT an entry gate)
- filing watch: 8-K until 2027-02-14 (deck-provisional: any guidance revision - a cut moves the \$78 reopen level, which is computed against the current guide)
- dated pack BLLN|2026-11-06: BLLN Q3: HIT = volumes re-accelerating >8% q/q OR prenatal ASP flat in the segment split (decline = oncology mix only). RESOLVE: python3 -m
- dated pack BLLN|2026-09-01: BLLN: Northstar Origin launch - confirm it ships on date; a slip is direct evidence against the H2 guide (date confirmed=False)
- dated pack BLLN|2026-11-05: BLLN: Q3 2026 results - HIT = prenatal volumes re-accelerating >8% q/q, OR prenatal ASP flat WITH prenatal revenue growing (corrected from t

What remains unverified

Stated plainly, because several of these are load-bearing.

1. **We never read the 10-Q ourselves.** The evidence pack's document excerpt is XBRL scaffolding — element tags and date contexts, no financial values. The XBRL quarterly block came back **completely empty**: revenue, stock compensation, diluted shares, and operating cash flow are all blank. Every income-statement and cash-flow figure in this deck traces to company press releases, filing aggregators, or news coverage. One bench hit a 403 from sec.gov and could not fetch the segment detail at all.
2. **Consequently: the cash, debt, and free-cash-flow figures are secondary-sourced.** The "\$548.6M cash / \$91.0M debt / FCF positive / no maturity until 2031" line — which is the entire reason this is a watch rather than a pass — comes from a filing aggregator's summary, not from the filing. It is probably right. It is not verified.
3. **Stock-based compensation and share dilution are completely unmeasured.** Zero data. This is a company that IPO'd nine months ago; dilution could be meaningfully changing the per-share math and we would not know. Any valuation in this deck that uses 47.19M shares is using a share count from the 10-Q cover page, which is a point-in-time count, not a diluted average.
4. **We do not know whether the reported ASP is company-wide or prenatal-only.** As noted above, this determines whether the story is "volumes are fine, price is falling" or "both are stalling." Those are very different investments and we cannot currently distinguish them.
5. **The Q3 print date is unconfirmed** and our own two internal records disagree by one day.
6. **The competitive question — is Natera actually taking prenatal share from BillionToOne? — is unanswered.** We established that Natera did well while BillionToOne did not. We did not establish causation. That is the difference between a stumble and a decline, and it is the whole investment case.
7. **Crowding is unknown.** No short interest, no ownership concentration, no read on how consensus the bear case already is.
8. **The \$300M of contracted covered lives is a company claim we have not independently checked** against payer policy documents.

Primary source of record for the share count and filing date: [BLLN Form 10-Q, quarter ended 2026-06-30, filed 2026-08-05](#). Where secondary coverage conflicts with that document, the document wins — and per item 1 above, we owe ourselves a proper read of it before any re-court.

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